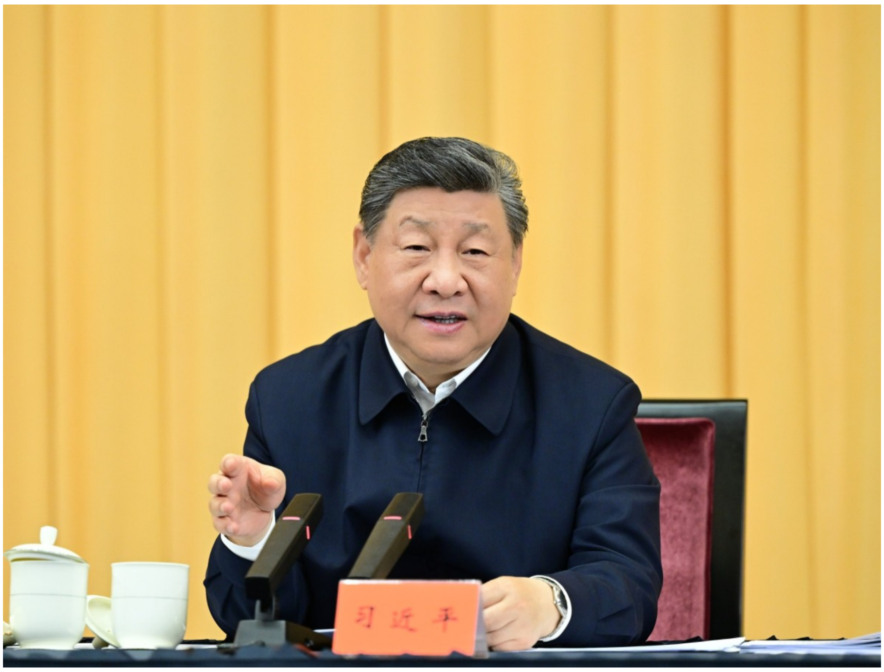
Stronger growth and reflation ease pressure for stimulus in China

China is faring relatively well despite the Iran war, as the reflation trend gains momentum. We probably haven't yet seen the full impact of higher energy prices. This combination of higher-than-expected growth and inflation will limit policymakers' urgency for new stimulus



Chinese President Xi Jinping ahead of this week's high-stakes summit with US President Trump

'Constructive strategic stability' to guide US-China ties after Trump's first Beijing trip since 2017

President Trump's long-awaited trip to Beijing largely played out as expected, with some positive developments on the economic side but no real breakthrough on geopolitical issues. A Chinese foreign ministry readout noted that Presidents Xi and Trump agreed to establish "China-US constructive strategic stability" to guide the next three years of relations. It holds the potential to expand cooperation on the economy and trade, health, agriculture, tourism, culture, and law enforcement. Earlier announced measures included China agreeing to renew beef import licences and resume Boeing aeroplane imports. We expect there to be additional announcements unveiled moving forward. But even without any groundbreaking deals, China's trade with the US is expected to show signs of recovery in the months ahead. We saw in the April trade data that China's exports to the US bounced back to 11.3% year-on-year, after falling by 16.4% in the first quarter.

The media and market focus was on the geopolitics side leading up to the summit, especially watching for any potential developments on Iran and Taiwan. No major breakthroughs were expected given the positions of both sides were well known heading into the meetings. China reiterated Taiwan as its core issue, while the US focus was on developments in Iran. We're unlikely to see any major formal announcements of progress on these issues. But actions speak louder than words. If we see any signs of progress in Iran negotiations or the planned Taiwan arms sales in the days ahead, it would likely suggest these discussions bore fruit.

Reflation trend is gaining steam

China's April inflation data surprised on the upside, indicating strengthening reflation momentum. Both PPI and non-food inflation hit 45-month highs in April. We suspect the impact of higher energy prices is yet to fully materialise. As input costs rise, we expect at least part of this to be passed on to consumers.

Reflation will be a mixed bag. In the near term, rising prices should be a drag on activity, as they could translate into slower consumption and thinner corporate margins. Meanwhile, a higher GDP deflator will reduce this year's growth figures. It's important for China to firmly exit the deflationary mindset that had set in over the previous years. This could actually improve the outlook over the medium term and encourage investment and consumption rather than further saving.

Limited signs of urgency for new stimulus

China's April Politburo meeting ended without major policy announcements, with policymakers acknowledging a good start to the year but a need to consolidate the economic recovery.

On the fiscal side, the focus appears to be on accelerating the rollout of existing policy announcements rather than pushing out new measures for now.

The monetary policy tone suggests that rate cuts are conditional. With liquidity still ample, it looks increasingly likely that any potential easing won't take place until the second half of the year.

Without new stimulus, we could return to last year's trajectory, where a solid start is followed by slower momentum as the months progress. This could be particularly true this year, as the economic impact of the Iran war begins to manifest in the data.

We slightly revised our 2026 full-year GDP forecast up to 4.7% YoY last month after the stronger-than-expected 1Q26 GDP read, with risks broadly balanced at this juncture.

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